SMCF II
Group Assignment
Group-8

FT272010	MISHA JHA
FT272070	POOJA SINGH
FT272022	NAMAN JAIN
FT272040	YASH KASHYAP
FT272029	DEVESH SETY

1. Case summary

The Olympic Games started in 1896 in Athens. It is governed by the International Olympic Committee based in Switzerland. The management of the Games is usually entrusted to the host city's Organising Committee for the Olympic Games. There are 5 primary sources of revenue when it comes to Olympic Games which includes broadcasting rights, international and domestic sponsorship, ticket sales and licensing rights. Revenue is allocated to the host city to plan for, organise and manage 17 days of the Games which is governed by contractual obligations. If additional funds are needed, they are raised though taxation, lotteries and private investment. OCOG anticipated 7.9 million tickets for sale of which the big four events which would constitute almost 40% of the revenue would be Swimming, artistic gymnastic, athletics and the ceremonies with 2 million tickets for football matches and finally other sports where the demand is less and the target is to maximise sales. In the past years, people just buy the tickets and don't use them because they want to keep it as a low-priced souvenir, they see 2-3 matches and leave the or sometimes officials buss in local volunteers to show the attendance in an empty stadium. The protagonist is in dilemma as to whether she should maximise revenue or maximise attendance; would he had done anything different if he were the head of either LOCOG or IOC.

2. Brief Synthesis

Protagonist: Paul Williamson, Head of Ticketing

Context:

- Paul Williamson, head of ticketing has the responsibility to establish the pricing for the 2012 London Olympics.
- The government-backed Olympic Delivery Authority managed $12 billion in infrastructure. LOCOG was managed with running the $3 billion operational budget, in

which the ticket sales is expected to generate $650 million (about 20% of LOCOG's total revenue).

- Williamson had to balance maximizing ticket revenue to reach $650 million and maintaining affordability and public accessibility to cater to PR promise of making the London 2012 olympics as "Everybody's Games".
- LOCOG has to distribute 7.9 million total tickets across 26 sports and 300 events in which 25% was capped for stakeholders and rest for general public.

Decision Points:

- LOCOG wants to collect $650 Million as ticket revenue but PR wants to make the pricing to be affordable to the public as they aim for “Everybody’s Games”.
- Determining how to divide 7.9 Million tickets between stakeholders and general public through an equitable ballot system.
- Although selling is a target, occupancy of the seats during match remains a major challenge.
- Setting dynamic price across 26 different sports without disrespecting any athletic discipline.

3. Identification of issues – with specific evidence:

- **Demand is not uniform among the 26 sports**:
  Top 4 most attractive sports contribute to 40% of the revenue
  The other sports have roughly 65% of the occupancy
- **Empty Seats Issue**:
  While the stadium tickets will show full occupancy on ticket portals, the turnout was 25% only in a 17,000 seating capacity stadium for a field hocket match.
  Sponsor and VIP tickets were unused and chinese buyers did not appear for match even after purchasing the tickets.
- **Fulfill promise of Game for Everyone**
  To fill stadium occupancy discounts were offered to local people but EU bans this decision and expects a discount for all the EU countries which causes friction.
- **Different dynamic of each country**
  While Athens has a small capacity, Beijing kept prices very low and Sydney is wealthy sports loving country with advantage. This makes a different strategy depending on the country.
- **Perception of different Pricing**
  Having different prices for sports can discourage the participants and raise questions from public`s end as well and if they proceed with uniform pricing then blackmarketing and reselling will eat up the revenue.

4. Central Marketing issues or decision problems facing the protagonist:

Balancing conflicts :

1) Achieving maximum revenue :
    a) Tickets comprises of 20 percent of the LOCOG revenue which is around 650 million dollars
2) Attendance maximisation :
    a) To keep the prestige of the game attendance is supposed to be maximum in order to avoid half empty arenas.

3) Social Accessibility :
    a) As London Olympics is focusing on games for all ideology so it should be accessible to all the public from every strata of society

Managing Portfolio :

1. There is a high demand for the big four games historical shows it constitutes of 40 percent of the ticket sales revenue and most of the times exceeds the supply
2. Games like table tennis and archery has very less demand and to avoid half empty arenas the protagonist has to fill the arenas
3. In Exhibit 6 it mentions that inventory varies widely from 2 million football tickets to 1000 sailing tickets in total

Empty Seat issues :

1. 25 percent of the tickets are held by the sponsors top management and often times they dont show up
2. People buy tickets as souvenir and often times buy day pass and only visit for a single game keeping tickets empty

Decision making paradox :

A. Either exceed the revenue by 50 million dollars and keep the stadium 70 percent empty
B. Earn 50 million dollars less and keep the stadium 90 percent which will go with the theme of the london olympics of games for all

5. Distinguish between core issues & secondary issues:

Core issues : To design a strategy for pricing of tickets such that it has a strong incentive to maximise revenue, attendance and at the same time does not compromise on the public accessibility of the tickets with the right knowledgeable audience.

Secondary issues :

1. LOCOG has to derive a substantial ticket revenue method which makes sure that the ticket is affordable to the general public as achieving this would balance the accessibility and revenue generation.

2. As demand will be different across all the sports, as competition across well known games would be more as compared to less famous games across Olympic events, so uniform ticket pricing and allocation would become ineffective.

3. LOCOG has to make sure to attain high attendance across all events, not just for popular games, as empty seats impact the overall status of the Olympic games.
4. LOCOG has to establish an effective pricing and distribution policy for millions of tickets before sales begins.

6. Proposed solution

- We can provide signed jerseys of the players competing in the game on that day to the VIPs to increase match attendance
- Participating countries can represent their country's culture by setting up their stall near the stadiums which will allow the spectators to experience the culture of all the countries participating in the Games and can also take a small percentage of their sales as precipitation fees from them. This will not only contribute to the revenue from the Games but will support to revitalise East London Community
- Tier pricing may be introduced where Ceremonies and the popular 4 sports have premium pricing as they are most in demand. Also, the seats which are the most near to the game area may have a higher price in comparison to the seats at the back of the stadium. This will lead to an increase in revenue

Excel Sheet Link 